Laurus Labs Ltd

Concall Tracker · Q2 2027 · continues the Q1-2027 report

1. Snapshot

Hyderabad drug maker with three arms: Affordable Medicines (generic drug ingredients and tablets, led by HIV medicines for Africa and poorer countries), CDMO (making patented drugs to order for big global pharma companies) and Laurus Bio (fermentation). The CDMO arm earns the high margins and is what has re-rated the company.

Number	Value	What it means
Market cap	Rs 1,31,456 cr	What the market says the whole company is worth; up sharply in a year.
Q2 FY27 revenue (consolidated)	Rs 2,206 cr	Sales for the quarter to Sep 2026, a record; about 31% higher for the half year.
Q2 FY27 EBITDA margin	34.5%	Operating profit per Rs 100 of sales, up from 31.8% in June and about 15% two years ago.
Q2 FY27 profit (consolidated)	Rs 441 cr	Record quarterly profit.
Net debt	Rs 2,466 cr (about 1x EBITDA)	Borrowings minus cash, now about one year of operating profit; comfortable.
Stock P/E	126x (standalone)	The market pays a very rich price for the CDMO story to keep compounding.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY24 to Q4 FY26 (11 calls)	Oct 2023 to Apr 2026	Carried forward from the Q1-2027 report
Q1 FY27 (boundary call)	24 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27	29 Oct 2026	Newly deep-read in full ★

Only the newest call was read in full this quarter; the three-year backstory comes from the prior report.

Latest concall highlights: Q2 FY27 (call held 29 Oct 2026)

- Record quarter again: revenue Rs 2,206 cr and EBITDA margin 34.5%, up 2.7 points on June. Gross margin held near 63%. Management keeps the floor at 60%+ gross and 30%+ EBITDA and won't guide beyond that.
- Small-molecule CDMO sales Rs 875 cr, up 86% on a year ago; Rs 1,710 cr for the half, up 77%. Affordable Medicines Rs 1,302 cr, up 15%, on steady HIV-drug pricing.
- The commercial-scale peptide block is commissioned (over 16,000 litres of solid-phase synthesis), with more being added. Commercial peptide revenue is guided around FY29; validation batches in 12 to 18 months.
- Two small buys: 60% of Galenvs Sciences in Canada (oligonucleotides, where Laurus has no customer yet) and a majority of SI and C Resins in Hyderabad (peptide resins).
- Laurus Bio fell to Rs 29 cr for the quarter; its new fermentation plant (LB4) is qualified this quarter, trials in Q4, commercial supply only from Q1 FY28. Capex Rs 3,000 cr over FY27-28 reaffirmed, about Rs 1,500 cr a year after that.

Business mix & capacity

Domestic vs export: Domestic is "less than 20%" of sales per the CFO on this call, so more than four-fifths is exported.

Capacity use: Small-molecule reactor volume now over 9,000 kilolitres. Utilisation not disclosed; asset turnover is about 1.0x against a first target of 1.1x and a past peak of 1.4x, so there's still unused plant to grow into.

Since our last report

Builds on the Q1-2027 report (call 24 Jul 2026). Prior verdicts: trigger YES, consistency MAYBE. That report had no checkpoints box, so its promises to watch are scored below.

Prior read	What we said then	What the new call shows	Movement
Trigger	CDMO mix shift has already lifted margins	CDMO up 86%, margin up again to 34.5%	Confirmed
Consistency	Core P&L promises met; side bets slip	30%+ EBITDA floor held; Bio slipped again to FY28	Unchanged
Capex without a revenue number	Capex guidance doubled twice	Rs 3,000 cr for two years held; still no revenue attached	On-track
Laurus Bio growth	Pushed to FY28	LB4 commercial supply only from Q1 FY28; H1 sales down	Slipping
Peptide block validation in Q2 FY27	Promised	Commissioned this quarter	Confirmed

Checkpoint results: Delivered | Delivered | Partly. Both verdicts unchanged.

3. Earning Trigger thesis

The shift from low-margin HIV ingredients to high-margin contract manufacturing for innovator pharma has already happened and kept compounding this quarter. CDMO sales nearly doubled on a year ago and EBITDA margin hit a record 34.5%. The next legs are peptides (block live, commercial revenue around FY29), the Krka tablet joint venture (validation from mid-2027, meaningful revenue FY28-29) and Laurus Bio (from FY28).

Trigger	What management said	Evidence so far	Time horizon	Strength
Small-molecule CDMO	Pipeline expanding, no customer concentration, visibility for 18 to 24 months	Rs 875 cr quarter, +86%	Now	Strong: already in the P&L
Margin floor	60%+ gross, 30%+ EBITDA	63% gross, 34.5% EBITDA	Now	Strong: promise held
Peptides	Commercial block live; more capacity coming; expect a "very meaningful role" in GLP-1 type work	No revenue yet	FY29	Unproven
Krka JV tablets	Phase 1 blocks start mid-2027	On track	FY28-29	Moderate
Laurus Bio	LB4 qualified this quarter	Sales down; commercial supply from Q1 FY28	FY28	Weak: keeps slipping

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Net debt to EBITDA down to about 1.02 from 1.28 last quarter on internal cash flows (29 Oct 2026)
New business	Yes	Acquired 60% of Galenvs (oligonucleotides) and a majority of SI and C Resins (peptide resins) (29 Oct 2026)
Margin up	Yes	EBITDA margin expanded 2.7 points to 34.5% on mix and operating leverage (29 Oct 2026)
New management	No	

Trigger type	Yes/ No	What was said (date)
New capacity	Yes	Commissioned commercial-scale peptide block; 500,000-litre fermentation plant operational this quarter (29 Oct 2026)
Big orders	No	No order book disclosed
Turnaround	No	
Promoter buying	No	

The single concrete driver: Contract manufacturing of patented drugs for global pharma, now about two-fifths of sales and growing far faster than the generic HIV business, lifting margins every quarter.

3c. Margin bridge

EBITDA margin is 34.5% against roughly 24% a year ago and 15% two years ago. CDMO mix and operating leverage on higher sales did most of it; a dip in R&D spend after June's filings helped this quarter. Management guides 30%+ as the floor (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY25	20% EBITDA for FY25	20.1%	Delivered
FY24 onward	EBITDA margin closer to 30%	31.8% in Q1 FY27, 34.5% in Q2 FY27	Delivered
Q1 FY27	60%+ gross, 30%+ EBITDA for FY27	63% and 33.2% for H1	Delivered
Q1 FY27	Peptide block validating in Q2 FY27	Commissioned	Delivered
Q3 FY25 onward	Laurus Bio big growth in FY27	H1 down; pushed to Q1 FY28	Missed
FY25 onward	Crop science meaningful revenue next year	Still "miniscule"	Missed
Q1 FY27	FY27-28 capex Rs 3,000 cr	H1 Rs 864 cr; target reaffirmed	Too-early

Narrative drift: The core story hasn't moved in three years and the P&L promises keep landing. The weak spot is unchanged too: new side bets (Bio, crop science, animal health) slip, and disclosure stays thin, with no project count, capex split, peptide capex or utilisation given.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged. Another record quarter with CDMO up 86% and margins up again confirms the mix shift is still compounding. The open question is the return on the next Rs 3,000 cr of capex, which management won't put a number on.

Management consistent? → MAYBE

vs last quarter: unchanged. The margin floor and the peptide block timeline were met, but Laurus Bio slipped again and crop science is still tiny, and management keeps declining to give numbers on peptides and capex.

6. Checkpoints for next quarter

- EBITDA margin stays above 30% in the December quarter
- Laurus Bio LB4 trials start in Q4 FY27 as promised
- Krka JV stays on course for mid-2027 validation

This is not investment advice. Do your own due diligence.